

Valley 10 completes the “separating decline” that divides the three peaks from the domed house. If point 10 isn't below either valley 4 or 6, then it's not a separating decline and there may be another drop coming. Notice that the entire structure from 2 to 10 looks distinct, compact.

Points 10 through 14 form a foundation for the first floor. Points 12 and 14 attempt to return to the level of 10 but don't make it down that far. That's the test of the low at 10. In this example, it's hard to see if the peaks and valleys look irregular or symmetrical. I suppose they share the same height and spacing, so that favors a symmetrical interpretation.

Price makes a strong push higher to 15. In this example, though, the sideways move from 15 to 20 is missing. This should be a 5-point turn, the roof of the first floor, but it's not there. Lindsay says this means the domed house will be narrower than usual, and it is.

The index rises to peak at 23 and forms a series of up-and-down moves that make up the dome on the second story. Price builds the second-story wall on the right of the house in the move down from 25 to 26. The retrace from 26 to 27 is unusually steep. Lindsay says that the 7-month, 8-to-10-day span lasts in this example from points 14 to 27, not 14 to 23.

After 27 the index tumbles to 28, completing the three peaks and domed house.

Lindsay describes a miniature three peaks and domed house pattern on this chart. Peaks A, B, C are the three peaks, and the domed house is peak 3. The separating decline is the move down to D and it separates the three peaks (ABC) from the domed house (3). The key to this mini-structure is the big decline from 3 to 4, which is a move similar to the drop from the mother ship of turns 23 to 28.

He says that any of the three peaks (3, 5, 7) can support a mini-domed house pattern (in other time periods), like you see at ABC. He explains that when they occur, it's often the last peak (7) instead of the first peak (3) where he sees small patterns form.

1960 Example

[Figure 62.3](#) shows another example of a three peaks and domed house pattern provided by Lindsay. He says that the sideways move (of just over a